

Corporate Expense Policy

Effective Date: 01/01/2026 | Policy Owner: Finance (Accounts Payable)

Applies To: All employees, contractors, and representatives submitting expenses for reimbursement or charging expenses to the Company

General Rules

Purpose. This Policy sets strict requirements for business expenses to ensure they are necessary, reasonable, properly documented, and compliant with law and Company standards.

Scope. Applies to reimbursements, Company card charges, direct-billed items, and permitted cash advances. If client rules or local law are stricter, the stricter standard applies.

1. Eligibility and Standard of Review

An expense is reimbursable only when it meets all of the following:

- **Business purpose** is clear and specific.
- **Necessity** is demonstrated (not merely convenient).
- **Reasonableness** aligns with location and circumstance.
- **Documentation** is complete (see Section 3).
- **Compliance** with this Policy, ethics rules, and applicable law.

2. Meals and Business Dining

Meals must be directly connected to Company business (travel meal, working meal, or client meeting) and must list the business purpose and attendees when applicable.

Dinner is expensable up to \$50 per person, inclusive of tax and tip.

Tips must be customary (generally not to exceed 20%). Itemized receipts are required for meals.

3. Documentation and Submission

Each expense must include merchant, date, amount/currency, and a clear business purpose. Receipts are required for all expenses above \$25 and for all meals regardless of amount. Expense reports must be submitted within **15 calendar days** of the expense date. Company card transactions must be reconciled within **10 calendar days** of posting.

Allowable and Non-Allowable Expenses

4. Allowable Expenses (When Pre-Approved Where Required)

Allowable expenses must remain modest and appropriate. Pre-approval is required for airfare, lodging, conferences/training above \$500, and equipment/software purchases.

Common allowable categories:

- Economy airfare and standard baggage fees (business travel).
- Standard lodging (mid-range business hotel).
- Ground transportation (rideshare, taxi, public transit) and reasonable parking.
- Mileage for personal vehicle use (per Company rate).
- Business supplies and shipping necessary for Company work.
- Client entertainment that is modest and appropriately documented.

5. Explicitly Non-Allowable Expenses

The following are not reimbursable (rare exceptions require written Finance and Legal approval in advance):

- Personal expenses (including family/guest expenses).
- Fines, penalties, tickets, and moving violations.
- Luxury upgrades without written approval.
- Political contributions or lobbying expenses.
- Gifts above \$50 without documented approval and compliance review.
- Any expense that violates law, client requirements, or Company ethics.

6. Audits and Enforcement

Finance may audit any expense, request additional substantiation, deny noncompliant items, and require repayment of improperly reimbursed expenses. Repeated or intentional violations may result in disciplinary action up to and including termination.

Prohibited Items and Exception Process

7. Alcohol and Controlled Substances

Alcohol is never expensable under this Policy, including client meals, team events, travel meals, minibar charges, and package deals that include alcohol.

If alcohol appears on a receipt, the alcohol line items must be excluded and deducted before submission. If itemization is unavailable, Finance may deny the entire expense.

Controlled substances and illegal drugs are strictly prohibited and may result in immediate disciplinary action.

8. Exceptions

Exceptions are rare and must be approved **in writing** by Finance **before** the expense is incurred. Requests must include amount, business rationale, and manager approval. Post-spend exception requests are presumptively denied.

9. Reimbursement and Disputes

Approved expenses are reimbursed through payroll or accounts payable on the standard processing cycle. If an expense is denied, the employee may request reconsideration within **5 business days** with additional documentation. Finance's decision is final.

10. Acknowledgment

All covered persons must acknowledge they have read and will comply with this Policy. Noncompliance may result in denial of reimbursement and disciplinary action.